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Interim Market Commentary

A Review & Update of The Croupier Business Model

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To review my definition of croupiers, they are facilitators of financial transactions. Some examples of croupiers are securities exchanges, custodians or processing companies. As a generalization, the croupier does not put its own capital at risk. They are analogous to a dealer in a gambling casino who does not place his or her own capital at risk. Croupiers are to be distinguished from financial services firms, whose capital, generally speaking, is always at risk. An example of such a company would be Citigroup. The fact that Citigroup is not a croupier should in no way lead one to conclude that I am recommending or not recommending Citigroup. I merely use it as an example of a financial services company that does not qualify as a croupier in the sense that I've just defined the term.

At the outset, it needs to be recognized that the world exists today in a pecuniary society. Pecuniary refers not only to its ordinary, narrow definition relating to money, but more broadly in terms of negotiable securities. It is not possible to have a modern industrial economy without a pecuniary society, though it is possible to have a good economy without a pecuniary society. In Carl Sandberg's biography of Abraham Lincoln, he describes how, as a young man, Lincoln lived for an entire year without ever seeing money.

During Lincoln's youth, it was possible to sustain oneself in the U.S by hunting, fishing and farming without ever participating in the pecuniary society. Today, that would be impossible, because the industrial enterprises that sustain the standard of living we have today are beyond the ability of even the wealthiest individuals to finance; for example, to build a utility power plant could conceivably cost many billions of dollars. Even the largest companies, in terms of market capitalization, would not allocate such a very large portion of their market value for investment in one utility project.

Such a move for a company, or for very wealthy individuals, would dramatically undiversify their portfolios, and they would be unlikely to make such a choice. As a result, it is necessary to have the ability to agglomerate the capital saved by many different individuals and businesses into one project. Representation of the value deposited by each can only be in the form of a negotiable instrument like a security.

To attract the savings of individuals and businesses, the invested savings must be available to be drawn upon as needed; in other words, those negotiable instruments must freely circulate, and be exchangeable; there is no alternative. In the current era, perhaps the most important reason for the apparent breakdown of the financial mechanisms is that the authorities permitted the evolution and construction of exchange mechanisms that were outside the domain of any reasonable rule system. This vast sphere of portfolio exotica, including interest rate swaps, credit default swaps and the like, exist outside of any organization.

The thrust of modern regulation is clearly and inexorably to bring transparency to those instrumentalities. That goal will likely be accomplished on some sort of organized exchange or clearinghouse. Beyond any question, announcements and implementation to that affect will take place within months, or possibly within weeks, though that shorter time frame is less likely. This situation represents the greatest opportunity that the croupiers could ever have had, because the scope of their activity is going to increase several fold. Beyond that, it will continue to increase exponentially, because there are vast regions of the world that are developing economically, and they will enter the pecuniary economies.

It's interesting to note that when the unregulated business of negotiable instruments begins to perform in a dysfunctional manner, it forces liquidation of securities in the regulated businesses as a way to fund the resultant collateral calls and collateral postings of the unregulated businesses. The result is a bizarre correlation amongst all sorts of asset classes that were never before correlated. It's a correlation that I think is almost at its end.

Let's use exchange traded funds (ETFs) as examples, which, incidentally, now embrace much more than the commonly understood stocks and bonds; they also embrace commodities. In the energy arena, for example, the ETF that contains the Dow Jones AIG Energy Index is down 66.8% since June 30, 2008. Looking at another commodity, in the same time period, the Dow Jones AIG Agricultural Index is down 50%. The Dow Jones AIG Industrial Metals ETF, yet another group of commodities, is down 58.3%.

Correlation can be found even when looking at subsets within the various ETFs; for example, the Dow Jones AIG Grains Index is down 54.3% since June 30, 2008. Grain is clearly a subset of the agricultural index. This situation is almost unheard of in the world of commodities, because one would imagine that the supply and demand imbalances, to the extent that there are imbalances, should logically be different at various points in time between energy commodities, agricultural commodities, and industrial metal commodities. There should also be differences among the agricultural commodities, but they are not.

The collapse of the unregulated, pecuniary economy acts like a suction pump that drains liquidity from all sources. One would have thought that, in the midst of such a liquidity crisis, the demand for the exchange of securities in the regulated pecuniary economy should be lessening, as it did in prior cases, but that is definitely not the case at the moment. For example, ProShares has Ultra Long and Ultra Short indexes that are weighted to perform 2x the underlying indexes on any given day (that's the definition of "ultra"). In the last month, a company known as Direxion created the innovation of a 3x, or super-ultra, ETF. At the moment, there are the Direxion Large Cap Bull 3x ETF (BGU), the Direxion Large Cap Bear 3x ETF (BGZ), the Direxion Small Cap Bull 3x ETF (TNA) and the Direxion Small Cap Bear 3x, ETF (TZA).

In one month, the following volumes have been achieved: in the Large Cap Bull 3x ETF the volume is now at 13.9 million shares daily. The volume at the end of one month for the Large Cap Bear 3x ETF is 6.9 million shares daily. The Small Cap Bull 3x ETF, also one month old, has achieved the volume of 9.3 million shares daily, and the Small Cap Bear 3x ETF, the laggard of the group, has volume of 3.5 million shares daily.

In this connection, it is worthwhile noting that the original ProShares 2x Ultra has had undiminished volume throughout; if anything, it has increased. The appetite among market participants for risk may well have decreased, but the demand for liquidity has increased, and it's just at its beginning. Another example is the Lehman 20+ year Treasury ETF that now trades 4.5 million shares daily, an amount that is historically unprecedented for that particular instrumentality. The S&P SPDR (SPY) has 50% turnover daily. For the PowerShares QQQ (QQQQ) which is, of course, the NASDAQ 100, volume is recorded in a double counting mode; nevertheless, it trades over 200 million shares daily.

The market has spoken. It demands liquidity at every hour of the day on a 24 hour basis. The croupiers are merely processing companies; they are no more, and no less. They do not risk their capital other than in the plant and equipment necessary to facilitate liquidity transactions. They earn copious amounts of cash flow which, in the fullness of time, will increase. Over the last year, credit markets have essentially become frozen; they basically refuse to function. In the world of commodity exchanges, however, interest rate futures trading has diminished only somewhat vis-à-vis last year, which is an incredible phenomenon. While the entire securitization market has disappeared, including mortgages, student loans, credit card receivables, and any type of securitization, the interest rate futures volume is down only slightly.

At the moment, various governments of the world are creating more fixed income securities than have ever been created in the history of civilization. Though the United States is a leader in that effort, it is but one among many. This creation of fixed income securities is being done at record low levels of interest rates. Is it not reasonable to assert that, in some number of months, the market participants, the owners, or in some cases the former owners, of these securities will wish to hedge themselves by the purchase or sale of interest rate futures? Is it not likely that that market, which is already very large, will grow enormously? The likelihood of that scenario is the market opportunity that stands before the croupier.

In my humble opinion, the croupiers are on the verge of a golden era that is just now starting. Of course, given the low valuations of croupiers, most market participants would disagree. Time will tell which of us is right. As of the most recent reckonings, the available empirical data suggests that the croupiers' business is growing, not diminishing.